arrival of banks. You can deposit your paper currency or cash in your bank account. Thereafter, you issue a cheque to make a payment.

However, cheques have to go through a long process for realization. The banker of the issuer had to send it to the banker of the recipient or a clearing house. If the parties are in two different cities or in different countries, the process of realization was still longer and more tortuous.

The advent of digital technologies has resolved this problem. The adoption of core banking technologies has allowed every bank account to become a digital one. Creation of market infrastructure like the National Payment Council of India (NPCI) has converted all digital bank accounts in India into digital wallets in a single bank.

You can now make all payments on your mobile phone or computer. Most payments are instantaneous. Digital technologies have removed all the limitations of paper currency.

It is estimated that more than 90 per cent of all payment transactions in value in India take place digitally now. However, over 80 per cent of transactions in volume are still estimated to be conducted in cash—by way of exchanging currency notes.

Digital payment has a number of advantages over physical payment. It costs money to print paper currency and manage the system. It is also easy to counterfeit, posing a threat to national security and impelling central banks to constantly upgrade the security features embedded in currency notes. Paper notes have a limited life and replacing paper with plastic or any other material is expensive. Physical movement of paper currency notes costs money, as does storing them, stuffing them in ATMs or delivering them on the counter of banks. Digital transactions, relatively, have almost no cost. That said, they can be hacked and central banks have to build appropriate security systems. However, comparatively, digital money management is cheaper and more hassle-free than the paper currency system.